BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:
Staff Consumer Services Panel

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Q. Members of the Staff Consumer Services Panel, or Panel, please state your names, employer, and business address.

A. We are Craig Carroll, Timothy Marsh and Joshua Trichon. We are employed by the New York State Department of Public Service, or Department. Our business address is Three Empire State Plaza, Albany, New York 12223-1350. Mr. Trichon's business address is 90 Church Street, New York, New York 10007.

Q. Mr. Carroll, what is your position in the Department?

A. I am employed as a Utility Consumer Program Specialist 4 in the Consumer Advocacy Section of the Office of Consumer Services, or OCS.

Q. Please provide a summary of your educational background and professional experience.

A. I received a Bachelor Degree in Mathematics and a Master Degree in Adolescent Education, both from the State University College at Plattsburgh. I have also completed coursework in Business Administration at Schenectady Community College. Before my employment with the Department, I was a mathematics educator at

the secondary level. After that, I was employed as the Lead Reports Analyst for a technology company call center. I joined the Department in January 2015.

Q. Mr. Carroll, please briefly describe your current responsibilities at the Department.

A. I perform tasks associated with monitoring utility compliance with consumer protections and access to service requirements contained in the Public Service Law, or PSL, and the regulations of the Public Service Commission, or Commission. My responsibilities include advocating on behalf of residential consumers, analyzing customer service performance incentives, and evaluating utility low-income programs.

Q. Have you previously testified before the Commission?

A. Yes. I have testified in various rate proceedings regarding Orange and Rockland Utilities, referred to as O&R, in Cases 14-E-0493, 14-G-0494, 18-E-0067, 18-G-0068, 21-G-0073 and 21-E-0074, 24-E-0060 and 24-G-0065; Consolidated Edison Company of New York, Inc. (Con Edison or the Company) in Cases 16-E-0060,

16-G-0061, 19-E-0065, 19-G-0066, 22-E-0064 and 22-G-0065; Corning Natural Gas Corporation, referred to as Corning, in Case 20-G-0101; Veolia Water New York, Inc., referred to as Veolia Water, in Case 23-W-0111; and Liberty Utilities (New York Water) Corp., referred to as Liberty Water, Case 23-W-0235. In those cases, I provided testimony addressing utilities' Low Income Affordability Programs and Customer Service Performance Indicators. I also testified on Con Edison's Advance Metering Infrastructure Customer Engagement Plan and in Case 15-M-0127, the Matter of Eligibility Criteria for Energy Service Companies.

Q. Mr. Marsh, what is your position at the Department?

A. I am employed as a Utility Analyst 1 in the Consumer Advocacy Section of OCS.

Q. Please provide a summary of your educational background and professional experience.

A. I received a Bachelor of Science degree in Interdisciplinary Studies focusing on Business and History from Arizona State University in 2010, and a Master of Public Administration from

Rockefeller College of Public Affairs at the State University of New York at Albany in 2023. Before my employment at the Department, I was a member of the COVID-19 Response Team with the New York State Department of Taxation and Finance from 2020 to 2022. I joined the Department in 2022, performing tasks associated with submetering and audits of public utilities pursuant to the Public Service Law and Public Service Commission regulations.

Q. Mr. Marsh, please briefly describe your current responsibilities at the Department.

A. My responsibilities include advocating on behalf of residential utility consumers in rate cases and other proceedings, evaluating utility customer service quality, and monitoring utilities' low income programs.

Q. Have you previously testified before the Commission?

A. Yes. I have testified in various rate proceedings regarding: KeySpan Gas East Corporation d/b/a National Grid, referred to as KEDLI, in Case 23-G-0226; The Brooklyn Union Gas Company d/b/a National Grid, referred to as

KEDNY, in Case 23-G-0225; National Fuel Gas Distribution Corporation, referred to as National Fuel, in Case 23-G-0627; and Hudson Valley Water Companies, Inc., referred to as Hudson Valley, in Cases 22-W-0357 and 24-W-0105. The subjects of my previous testimony include Energy Affordability Programs, low income program enrollment, tariff modifications, and labor.

Q. Mr. Trichon, what is your position in the Department?

A. I am employed as an Excelsior Fellow in the Consumer Assistance Unit in OCS.

Q. Please provide a summary of your educational background and professional experience.

A. I received a Bachelor of Arts degree in International Relations-Political Science and Environmental Studies from Tulane University in 2019. I received a Juris Doctor from the Benjamin N. Cardozo School of Law in 2023. I was admitted to practice law in the New York State Supreme Court Appellate Division Second Department in March 2024. In 2023, I joined the Department as an Excelsior Fellow. Before my

employment at the Department, I was a clinical legal intern, legal intern and legal extern at the Innocence Project, STV, Inc., and the United States Environmental Protection Agency.

Q. Have you previously testified before the Commission?

A. Yes. I have testified in rate proceedings on customer service issues regarding Niagara Mohawk Power Corporation d/b/a National Grid, in Cases 24-E-0322 and 24-G-0323.

Scope of Testimony

Q. What is the purpose of the Panel's testimony in these proceedings?

A. Our testimony will cover customer service issues for Con Edison. Specifically, we are responding to Con Edison's proposals regarding: 1) increased full-time equivalent employees, referred to as FTEs, in various areas, including its Arrears Management Program; Contact Center Staffing and Training Program; Meter and Billing Resources; New York Power Authority Account Management; to handle Public Service Commission, or PSC, Complaints and Rate Consultant Inquiries; and to facilitate the Energy

Affordability Program; 2) modifications to its Customer Outreach and Education program; 3) postage costs; and 4) modifications to the Energy Affordability Program regarding enrollent for Service Classification 3, or SC-3, gas customers. We will also present recommendations regarding the Company's customer service metrics.

Q. What is the Rate Year in these proceedings?

A. The Rate Year is the 12-month period ending December 31, 2026.

Q. In your testimony, will you refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes. We will refer to, and have relied upon, several responses provided by the Company to Information Requests, or IRs. These responses are contained in Exhibit___(SCSP-1), and are referred to by the designation given to them by the Department, for example, DPS-100.

Q. Did the Panel prepare other exhibits in connection with your testimony?

A. Yes, we are sponsoring four exhibits.

Q. Would you briefly describe these exhibits?

A. Exhibit___(SCSP-1) contains the Company's responses to IRs we have relied upon. Exhibit___(SCSP-2) contains our benefit-cost analysis regarding the Company's proposed Arrears Management Program. Exhibit___(SCSP-3) contains our recommended Outreach and Education budget template. Exhibit___(SCSP-4) contains our recommendation regarding the Company's proposed Customer Service Performance Mechanchism.

Q. Does the Panel have any general concerns regarding the various proposals in the Company's Customer Operations Panel's initial testimony?

A. Yes. The Panel is particularly concerned with the significant number of proposed incremental FTEs and the added financial burden to already struggling customers. At the outset, the Company's Customer Operations Panel initial testimony included an operations and maintenance expense, or O&M, increase of $79.5 million. Subsquently, the Company updated this request to $64.0 million in its corrections and update testimony. Also, the Panel notes that the Company did not provide any workpapers in

response to DPS-287 to support its requests in the Company's Customer Operations Panel testimony, however, the Company did provide some workpapers in subsequent interrogatory requests regarding specific proposals.

Arrears Management Program

Q. How many FTEs does the Company currently employ for field collection activities?

A. In response to DPS-347, the Company states that there are a total of 79 FTEs in its field collections group, 68 customer field representatives (CFRs) and 11 management. Also, in that response, the Company indicates that in 2019, prior to the pandemic, it had 160 FTEs in its field collections group.

Q. Please describe the Company's Arrears Management Program proposal.

A. On pages 18 through 19 of the Company's Customer Operations Panel initial testimony, the Company proposes to increase its CFRs FTEs in an effort to address the increase in customer arears compared to pre-COVID amounts. Specifically, the Company requests 383 additional FTEs for field collections activities. Of the 383 FTEs

requested, 337 would be CFRs, 150 of which would be provisional, and 16 would be hired as customer service representatives (CSR). In addition, the Company requests 23 supervisors, two section managers, one senior specialist, and four management positions. The Company states that it plans to hire all of these FTEs prior to the Rate Year and that the estimated number of incremental FTEs is based on historic staffing levels, projecting estimated arrears reduction per collector, and the anticipated impact of non-field collection activities via phone, email, and text. On page 1 of the Company's Customer Operations Panel Exhibit___(CO-3 Update), the Company decreased its initial FTE request by 105, for a total of 278 requested FTEs. On page 7 of the Customer Operations Panel Update testimony, the Company states that the reductions in arrears are trending ahead of its original forecasts, which, as of February 2025, had decreased by approximately $100 million from the December 2024 timeframe the Company used in its initial testimony. The Company also proposes to increase digital

touchpoints via email and text as a way to engage with customers to help customers pay their bills. The Company plans to manage arrears through notifications to customers via letters, emails, phone calls, and field visits, offering payment plans and payment extensions, and referring customers to social services for financial assistance and and its Energy Affordability Program for eligible customers.

Q. What is the Company's justification and need for so many new CFR FTEs?

A. On page 13 of the Company's Customer Operations Panel initial testimony, the Company states that customers' arrears amounts have increased from $428 million in 2020 to $1.5 billion as of December 2024. Further, the Company states that the number of customers in arrears more than 60 days has grown by approximately 60 percent to 565,000 total customers, of which 496,000 are residential customers with approximately $948 million in arrears amounts. There are also approximately 69,000 non-residential customers with arrears totaling $539 million. The Company claims, on page 14 of the Customer Operations

Panel initial testimony, that the causes of the increases include economic conditions during and after the pandemic period, the moratoria on terminations during the pandemic, and self-imposed pauses on collections during the Company's new customer service system, or CSS, implementation.

Q. What are the associated non-labor O&M costs the Company requests for the Rate Year?

A. The requested non-labor O&M costs for the Rate year are $2.32 million. On page 7 of the Company's Exhibit___(CO-03), the Company states these funds are for digital outreach, uniforms, and supplies.

Q. What are the associated labor O&M costs the Company requests for the Rate Year?

A. The requested labor O&M costs for the Rate Year are $17.36 million.

Q. Did the Commission take steps in addressing the impacts of COVID-19 on customers?

A. Yes. In the 2022-2023 Fiscal Year State Budget, enacted in April 2022 (2022-2023 Budget), the Department was tasked, in consultation with the Energy Affordability Policy (EAP) Working Group,

with recommneding a residential arrears reduction program to address increased arrears from the COVID-19 pandemic. The EAP Working Group was established by the Commission in its Order Adopting Energy Affordability Policy Modifications and Directing Utility Filing, issued on August 12, 2021 in Case 14-M-0565. The EAP Working Group includes Department Staff, the Joint Utilities (including Con Edison), and interested stakeholders. In accordance with the 2022 to 2023 Budget, the EAP Working Group collaboratively developed and submitted, on May 20, 2022 in Cases 14-M-0565 and 20-M-0266, its arrears reduction plan report (Arrears Report). The Arrears Report included, among other things, a section detailing utility shareholder contributions to help address the increased arrears levels. Subsequently, on June 16, 2022, the Commission issued its Order Authorizing Phase 1 Arrears Reduction Program, which adopted the terms outlined in the Arrears Report in its entirety, including the portion on shareholder contributions.

Q. Panel, please describe the portion on

shareholder contributions discussed in the Arrears Report.

A. On pages 22 to 24, the Arrears Report provides the amounts each utility committed to reducing customer arrears as a shareholder contribution. Specifically, each utility committed to waive financing costs associated with late payments.

Q. Did the Arrears Report address other potential O&M savings resulting from the arrears reduction plan that could be included as a shareholder contribution?

A. Yes. The Arrears Report discusses the potential of O&M savings related to field collections resulting from arrears reduction plan implementation which would benefit shareholders, not customers. The Arrears Report states that the JU disagreed that such cost savings would result from the arrears reduction plan and that "... utilities plan to maintain their levels of field collections staff to support current needs ..." Therefore, the EAP Working Group concluded that no shareholder contribution related to field collections was appropriate.

Q. Does the Panel have any recommendations

regarding the Company's request?

A. Yes. The Panel recommends right-sizing the number of FTEs to the Company's pre-COVID levels to a total headcount of 160 FTEs dedicated to field collection activities, which includes the 79 FTEs from the historic test year. The Panel recommends a proportionate adjustment to the associated non-labor costs.

Q. Why does the Panel recommend a total headcount of 160 FTEs dedicated to the field collections group?

A. The Panel is concerned with the overall management of this group, particularly the significant reductions to the FTEs since the pre-pandemic FTE levels. As discussed previously, the Company allowed the FTEs in the field collections group to decrease by over 50 percent compared to pre-pandemic FTE levels, even after indicating to the EAP Working Group that it planned to maintain its field collections staffing levels. Had the Company maintained its staffing levels, it could have more adequately managed customer arrears. Also, the Company has the flexibility to prioritize

its resources and, therefore, if the Company's focus is to address arrears through increased field collection activities, the Company should manage its staffing resources accordingly.

Q. In developing its FTE adjustment, did the Panel perform a cost-benefit analysis regarding which of the Company's various methods of collections were the most cost-effective?

A. Yes. The Panel conducted a cost-benefit analysis to determine which methods of collections were the most cost-effective per dollar spent. The analysis showed that digital outreach, e-mail and text messaging were the most cost-effective collections methods. This analysis is presented in the Panel's Exhibit___(SCSP-2).

Q. What is the Panel's recommendation regarding the arrears management process?

A. The Company should consider more cost-effective alternatives prior to resorting to field collections activity. The Panel recommends that the Company focus its efforts on digital communications and prioritize the most cost-effective arrears management reduction

solutions. According to the Company's redacted response to DPS-416, the Company states that it had 160 FTEs dedicated to field collections prior to the pandemic and since then, the number of FTEs had dropped to only 79 FTEs in 2024. The Panel recommends that the Commission allow an incremental 81 FTEs out of the Company's proposed 278. Adding 81 FTEs to the current 79 FTEs would right size the program to the 160 FTEs total for the field collection activities work. The Panel also adjusted non-labor costs for uniforms and supplies proportional to the FTE adjustment. These adjustments were provided to the Staff Accounting Panel.

Q. Does the Panel have any recommendations regarding how the Company should focus its field collections activities?

A. Yes. The Panel recommends that the Company increase its field collections activities' focus on non-residential arrears. Based on the Company's Collection Activity Reports submitted in Case 91-M-0744, Proceeding on Motion of the Commission to examine the collection practices of the major gas and electric utilities in New

York State, as of March 2025, 11.8 percent of customers in arrears greater than 60 days were non-residential; however, non-residential customers accounted for 35.7 percent of the total amount of arrears. Also, the average arrears dollar amount per non-residential customer is approximately $9,000, whereas the average arrears dollar amount per residential customer is approximately $2,160. Therefore, focusing collections on non-residential customers would provide larger returns on Con Edison's efforts.

Contact Center Staffing and Training Program

Q. Panel, please describe the Company's Contact Center Staffing and Training Program proposal.

A. On pages 21 to 22 of the Company's Customer Operations Panel initial testimony, the Company proposes to augment its FTEs within its Customer Assistance unit, focusing on inbound call capacity, outbound call capacity, and employee training. Specifically, the Company proposes to increase call center staffing by 200 customer service representatives, or CSRs, for inbound call capacity, 100 CSRs for outbound call

capacity, and 33 management FTEs. On pages 10 to 11 of the Company's Customer Operations Panel Update testimony, the Company reduced the proposed FTEs by 97 due to the improved performance in arrears reduction experienced to date. Also, on page 11 of the Company's Customer Operations Panel Update testimony, the Company states that since the contact center staffing and training FTE request is tied, in part, to the arrears management program request for additional FTEs, the Company's reduced FTE request in the Arrears Management Program request impacts the request for contact center staffing. Also, on page 25 of the Company Customer Operations Panel initial testimony, the panel states that Con Edison is investing in workforce management tools to improve staffing as the Company implements strategies for arrears management.

Q. What is the Company's justification for its large FTE request?

A. On pages 22 to 23 of the Company's Customer Operations Panel initial testimony, the Company estimates a 15 to 20 percent increase in call

volume from 2024 to 2026 due to increased collection activities and other inquiries such as high bills, payment agreements, clean energy programs, storm-related calls, exceptions around start/stop requests, and alternative rates. The Company cites a 12 percent increase in call volume from 2023 to 2024 and an increased complexity of calls resulting in an increase in handling time, from seven minutes and 49 seconds per call in 2023 to eight minutes and 16 seconds per call in 2024. The Company claims that additional CSRs will support customers through lower wait times.

Q. What are the O&M costs sought by Con Edsion for the contact center and training FTE request in the Rate Year?

A. According to the Company's Exhibit___(CO-4-Update), the O&M costs for the Rate Year are $34.6 million.

Q. Does the Panel have a recommendation regarding the contact center staffing request?

A. Yes. The Panel recommends reducing the total number of FTEs by 167 FTEs, from the Company's updated request of 236 FTEs to 69 FTEs. As

discussed earlier in our testimony, this FTE request is tied to the FTE request for its Arrears Management Program, therefore, the Panel's recommended reduction is in proportion with the Panel's recommended reduction in Arrears Management Program FTEs.

Meter and Billing Resources

Q. Panel, what is the Company's Meter and Billing Resources proposal?

A. On pages 28 to 29 of the Company's Customer Operations Panel initial testimony, the Company proposes to increase field and back-office staff. Specifically, the Company proposes 129 new FTEs to address customer billing and correspondence support; retail choice or energy services company, or ESCO, account support; the meter no access and replevin program; the meter to bill quality assurance team; and employee enrichment and training. The Company provides the following breakdown of the 129 proposed FTEs: 78 FTEs for customer billing and correspondence support who will support accounting and back-office work; 11 ESCO FTEs to assist the needs of ESCOs operating in the

Company's service territory; 29 field and management FTEs that will expand the capacity for meter access issues; five FTEs for meter management quality assurance; and six training FTEs. The Company proposes to hire these FTEs in the Rate Year.

Q. What is the Company's justification for its Meter and Billing FTE request?

A. On pages 27 to 28 of the Company's Customer Operations Panel initial testimony, the Company states that the proposed FTEs will troubleshoot and remedy metering issues, address complex billing concerns, and confirm accurate recordings of customer usage are displayed on customer bills. Further, on pages 30 and 31, the Company states that there are always billing anomalies requiring resources to manage, mitigate, and manually intervene even with the successful deployment of advanced metering infrastructure, referred to as AMI, which has improved timeliness and accuracy of bills. On pages 31 to 32 of the same testimony, the Company cites expansion of special billing rates and associated program offerings, time-of-use

rates, residential net metering, and the 100,000 total customers on demand-based rates. The Company also states that amendments to Public Service Law Sections 41, 44, and 66-w change the timeline to render a late or upwardly adjusted bill from six months to three months such that additional FTEs are required for quicker resolution of billing issues.

Q. What are the associated O&M costs sought by Con Edison in the Rate Year?

A. The O&M costs for the Rate Year are $12.7 million.

Q. What is the Panel’s recommendation regarding the Meter and Billing resources request?

A. The Panel recommends that the Commission deny the 78 FTEs for customer billing and correspondence support, the 29 requested FTEs for meter no access and replevin, and the 11 requested FTEs for ESCO-related work activities. Overall, the Panel’s recommendatioon modifies the total request of 129 FTEs for Meter and Billing Resources to 11 FTEs.

Q. What is the Panel’s rationale for denying the Company’s FTE request for customer billing and

correspondence support?

A. Regarding the customer billing and support request, in response to DPS-507, the Company states that a cost-benefit analysis was not performed for this FTE request and it did not provide a reason for why the analysis was not performed. In addition, the Company states on pages 30 and 31 of its Customer Operations Panel initial testimony that AMI introduced new complexities that require additional FTEs to manage and analyze data and ensure accuracy and reliability. While the nature of the AMI system is more complex from a technical standpoint compared to the Company's legacy metering systems, a primary function of the AMI system is to provide actual bills in a timely and accurate fashion. This is confirmed in the Company's response to DPS-410, in which the Company states that AMI has improved the Company's billing performance, particularly by reducing the need for estimated bills. The Company also states on page 27 of its initial testimony that AMI and the Company's updated billing system have dramatically improved the timlieness and

accuracy of customer bills. Therefore, the benefits of the significant investments made by the Company for its AMI and new billing system should alleviate the need for incremental meter and billing resources.

Q. Panel, what is your rationale for denying the FTE request for meter no-access and replevin related work?

A. In response to DPS-410, the Company states that the number of AMI and legacy meters that require a field visit to gain access and resolve a no-access condition has decreased to under 63,000 since its initial filing, out of the approximately 4.7 million scheduled meter reads reported by the Company in its filed Performance Indicator Report for March 2025, filed in Case 15-M-0566, In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations. The Company claims that existing FTEs are not sufficient to handle this work. However, the Company's response to DPS-410 indicates that the number of meters with no-access issues has already decreased since the date of the rate

case filings. The Panel is also concerned that additional FTEs will not lead to improvements in these work activities because meter access is controled by the customer.

Q. What is the Panel's rationale for denying the FTEs for ESCO-related work?

A. The Company requests additional ESCO FTEs due to the new and amended Public Service Law Sections 41 and 66-w, which require reducing the timeframe for backbills to be issued from six months to three months, which the Company argues means it needs more FTEs. This rationale is unpersuasive. The Company should already be issuing timely bills and while the Panel notes that there may be additional pressure on the Company to issue timely bills, the legislation decreasing the timeframe in which the Company is able to issue revised bills is not a reason for 11 additional FTEs at customer expense. Additionally, the Company has high levels of AMI penetration and recently implemented a new CSS, which should continue to ensure timely, accurate bills for ESCO customers. In addition, the Company proposes to replace its existing Retail

Access system, which will deliver efficiencies that the Company can leverage without the need for additional staffing. On page 171 of the Company's Exhibit___(IT-5), the Company proposes to modernize its retail access system; this update to the system will address current inefficiencies, such as persistent cancel and rebill issues and billing issues from meter discrepancies, compatibility issues, such as adding the ability for ESCOs to add and remove authorized users through a secure Company portal, and customer experience such that the Company may more effectively engage with ESCOs and ESCO customers. An enhanced retail access system will increase workflows between the Company and ESCOs and obviates the need for additional retail access FTEs.

New York Power Authority (NYPA) Account Management

Q. Describe the Company's NYPA Account Management proposal.

A. On pages 37 to 38 of the Company's Customer Operations Panel initial testimony, the Company plans to establish a new group dedicated to addressing customer care inquiries from NYPA.

The Company propses the group, which will be within Customer Operations, will handle monthly billing processes for NYPA customers, become well-versed in the complexity of NYPA inquiries, be trained to handle specialized rate needs, address start/stop service requests and meter installation work, service upgrades and exchanges, billing and account inquiries, complaint handling, reporting, and enrollment in energy efficiency programs and demand response. The Company requests 15 FTEs for the dedicated NYPA group, 10 Senior Customer Service Representatives (SCSRs), two supervisors, one project specialist, one information technology, or IT, system specialist, and one project manager. The Company proposes to hire all of these FTEs in the Rate Year.

Q. What is the Company's justification for its proposal?

A. On page 38 of the Company's Customer Operations Panel initial testimony, the Company states that NYPA customer inquiries, that include Value of Distributed Energy Resources, demand response, energy efficiency and clean energy programs, and

metering issues, are currently handled by different offices. The Company states that the current process does not enable the Corporate Customer Group (CCG) billing representatives to hone their expertise specifically for NYPA customers.

Q. What are the O&M costs associated with the NYPA FTE request in the Rate Year?

A. The associated O&M costs for the Rate Year are $2 million.

Q. Does the Panel have a recommendation regarding the NYPA FTE request?

A. Yes. The Panel recommends denying the Company's request.

Q. What is the Panel's justification for recommending the Company's request be denied?

A. The Company's justification for the program is not supported as confirmed in the Company's response to DPS-547. In that response, the Company states that the Company does not currently track the number of inquiries it receives from NYPA and its customers nor instances where a billing representative cannot resolve a NYPA complaint. Also, in the

Company's response to DPS-547, the Company states that it does not track the length of time to resolve a NYPA inquiry. Therefore, the Panel is unable to determine if the proposed number of FTEs is justified. Further, addressing NYPA inquiries has been part of the Company's ongoing operations for decades and the Company has not demonstrated an increase in workload to justify the need for a dedicated NYPA team. The Company has the ability to shift and prioritize staffing to address certain needs and therefore, the Panel recommends the Company continue to manage its current resources in a similar manner.

PSC Complaints and Rate Consultant Inquiry Handling

Q. Describe the Company's PSC Complaints and Rate Consultant Inquiry Handling proposal.

A. On pages 49 to 50 of the Company's Customer Operations Panel initial testimony, the Company proposes to add 21 FTEs to address PSC complaints and rate consultant inquiries; the Company proposes an additional 15 SCSRs, two senior planning analysts, two senior specialists, and two supervisors. The Company proposes to strengthen its complaint response

processes and expand training for SCSRs to be more knowledgeable on tariffs, laws and regulations, and complex billing. The Company proposes to hire these FTEs by the end of the first quarter of the Rate Year.

Q. What is the Company's justification for its FTE request for PSC complaints and to address rate consultant matters?

A. On pages 49 to 50 of the Company's Customer Operations Panel initial testimony, the Company states that staffing is based on the Company's experience in addressing the backlogs of customer and rate consultant inquiries. Further, the Company states that rate consultant inquiries are typically more complex and require more time to resolve and if an inquiry is escalated to the Standard Resolution System (SRS) then additional research may be needed for response, rebuttal, hearing, and appeal. In response to DPS-384, the Company states that the Quick Resolution System (QRS) cases increased from 4,604 in 2023 to 5,717 in 2024 and that, of those, the SRS cases, or escalated complaints, increased from 686 in 2023 to 876 in 2024. The

Company states that the drivers of these increases are higher bills, arrears growth, and increased rate consultant inquiries. The Company also states that rate consultants are more prevalent in their service territory compared to the rest of the state and as the complexity of these rate consultant inquiries grows, so does the time and effort required to resolve them.

Q. What are the associated O&M costs for the Rate Year?

A. The associated O&M costs for the Rate Year are $2.4 million.

Q. What is the Panel's recommendation regarding the FTE request for handling PSC Complaints and Rate Consultant inquiries?

A. The Panel recommends the Commission deny the incremental 21 FTE request to handle PSC complaints and rate consultant inquiries.

Q. What is the Panel's justification for its recommendation?

A. In the Company's response to DPS-468, it states that the Company does not track the average amount of time to resolve rate consultant

complaints nor does it track billing adjustments specific to rate consultant cases and therefore, the Panel is unable to adequately assess the Company's proposed FTE request. Also, in the same IR response, the Company states that in 2023 there were 330 initial inquiries from customers, referred to as QRS, and 290 escalated complaints submitted by rate consultants and in 2024 those were reduced to 199 QRS and 188 SRS complaints submitted by rate consultants. Further, as discussed previously, the Company justified the request by claiming an increase to rate consultant inquiries, however, this contradicts the Company's response to DPS-468 regarding the decrease in rate consultant inquiries from 2023 to 2024. This indicates that not only has this been ongoing work the Company has been addressing, but the work is decreasing, which could call for a decrease in resources. Further, addressing customer and rate consultant complaints has long been part of the Company's ongoing operations and addressed by its current resources and therefore, the Panel does not see a need to augment its FTEs to

perform this work. Similarly to the NYPA testimony discussed previously, the Company has the ability to shift and prioritize staffing to address certain needs and, therefore, the Panel recommends the Company continue to manage its current resources in a similar manner.

Q. Does the Panel have other recommendations?

A. Yes. In the Company's response to DPS-468, the Company states that it has not performed a root cause analysis for inquiries related to billing disputes. The Panel recommends the Company conduct a root cause analysis on its 10 most prevalent types of complaints. This analysis could help the Company determine if there are other fundamental causes for customer complaints where addressing those causes could prevent further customer complaints.

Customer Outreach and Education

Q. Panel, please discuss the Commission's requirements for utilities' annual outreach and education (O&E) plans.

A. Pursuant to the Commission's Order, Continuing Reporting Requirements in Cases 96-M-0706, et al., issued on November 13, 1997, referred to as

the O&E Order, the Commission requires each utility to file an annual outreach and education plan detailing its efforts to educate customers about utility service. Subsequently, the Department opened Case 17-M-0475, In the Matter of Utility Outreach and Education Plans, for utilities to submit their respective annual O&E Plan. In the Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, with Additional Requirements issued on July 20, 2023 in Cases 22-E-0064 and 22-G-0065 (2023 Rate Order), the Commission directed the Company to file its annual O&E Plan in Cases 22-E-0064 and 22-G-0065.

Q. Please provide a concise description of the Company's O&E Plan.

A. The Company's most recent annual O&E Plan was filed on April 1, 2025, in Case 17-M-0475, referred to as the 2025 O&E Plan. The core programs include educational awareness about system reliability infrastructure, customer rights and responsibilities, extreme heat, metering, safety, special needs customers, high winter or summer bills, financial assistance,

scam awareness, low income and at-risk customer outreach, regional outreach, tenant bill data, School Children Education program, and clean energy initiatives. The Company delivers its core messages using the following methods: social media, mobile applications, customer assistance telephone lines and call center, bill messages and inserts, press releases, customer emails, website updates, advertising, and in person and virtual outreach events.

Q. Did the Company address its O&E Plan in its testimony in these proceedings?

A. Yes. On pages 52 to 53 of the Company's Customer Operations Panel initial testimony, the Company proposes to expand its outreach strategies to include more targeted regional outreach to disadvantaged communities with at-risk and low-income customers, expand its language access initiative, adding Opower Affordability Suite, implementing automated messaging for customers affected by the Company's construction projects, expanding email campaigns to promote clean energy and efficiency initiatives and customer assistance programs and

tools, continuing smart meter-related communications that were previously funded by the AMI Awareness budget, and expanding communication channels.

Q. Did the Company propose additional staffing or funding for its proposed outreach enhancements?

A. Yes. The Company proposes an O&M increase of $1.3 million for the proposed enhancements and one incremental FTE in the Rate Year.

Q. Does the Company address improvements to its Infrastructure and Security outreach program?

A. The Company did not specifically address improvements. However, on page 53 of the Company's Customer Operations Panel initial testimony, the Company proposes a more robust automated work notification tool for customers affected by the Company's construction work. On page 2 of the Company's Exhibit___(CO-8), the Company explains that it intends to comply with a new state law, 2021-S4013A, which requires it to be more transparent about its construction work and impacts on customers.

Q. Did the Company request funding for its automated work notification tool?

A. Yes. In its redacted response to DPS-1025, the Company describes the need for $80,000 in funding for the Rate Year to support the Work Notice Information System (WINS) and the increased volume of notifications needed to comply with the new law.

Q. What did the Company propose in this rate proceeding about its language access offerings?

A. On page 54 of the Company's Customer Operations Panel initial testimony, the Company proposed expanding its language offerings in Bengali, Polish, Haitian-Creole, Urdu, and Yiddish. In the response to DPS-65, the Company provides a lengthy list of languages used for customer communications, including offerings in Bengali, Polish, Haitian Creole, Urdu, and Yiddish.

Q. Does the Panel have any concerns regarding the Company's language access proposal?

A. Yes. The 2023 Rate Order requires the expansion of the Company's language offerings to include Polish and Bengali and based on the information provided, it is unclear if Polish and Bengali are currently included in Con Edison's language translations offerings or if the Company is

proposing to include these language translation offerings in these proceedings.

Q. Did the Company request funding for its proposed language offerings?

A. Yes. On page 1 of the Company's Exhibit___(CO-8), the Company states that the requested funding is to expand its efforts to provide more language translations and develop new tools, including a translation widget. However, the Company does not provide the cost associated with expanding its language offerings.

Q. Did the Panel examine the Company's outreach activity results, budgets, and expenditures?

A. Yes. The Panel reviewed the Company's 2025 O&E Plan, 2024 outreach activity results, and the last three years of historical spend.

Q. Did the Panel uncover any issues with the Company's outreach budget and expenditures?

A. Yes. The Panel identified three issues. First, we examined historical spending in 2022, 2023, and 2024, and the Panel could not reconcile the actual spending reflected in the Company's O&E Plans and the historical spend reported in the Company's Exhibit___(CO-08) and in its response

to DPS-379. Second, we found that the breakdown of costs provided in response to DPS-379 do not align with the costs broken down by category in the Company's 2022, 2023, and 2024 O&E Plans. Third, the Company's O&M request of $5.608 million for 2025 reflected on page 6 of Exhibit___(CO-8) does not align with the budget amount of $4.276 million reflected in its 2025 O&E Plan. Finally, the Company did not provide a breakdown of the $1.322 million funding request for the Rate Year in its Exhibit___(CO-8) or in response to PULP-3_20. In its redacted response to DPS-1024, the Company explains that it cannot break down the overall incremental revenue need of $1.32 million for its customer outreach activities. Instead, it broke down the costs in alignment with the budget format filed in their Exhibit__(CO-8), which did not provide clarity or justification for the Company's proposed increase. Therefore, the Panel could not evaluate how much funding the Company allocated for each program, or how it is being spent and reconciled. The Panel concluded that the Company's outreach budget lacks transparency

in this proceeding and in the Company's O&E Plan budgets and actual expenses.

Q. Does the Panel have any adjustments to the Company's proposed outreach and education budget increase of $1.3 million?

A. Yes. The Panel recommends the Commission reject the Company's budget increase, less the $80,000 proposed funding amount for the Company's WINS project, due to the lack of transparency in the Company's outreach budget process and information provided in these proceedings, the Panel's inability to reconcile program expenditures, and adequately assess funding needs.

Q. Does the Panel have recommendations about the Company's budget process and reconciliation?

A. Yes. The Panel recommends that the Commission direct the Company to implement a one-way downward reconciliation for any costs associated with outreach and education. Any under-spent funds should be deferred for future Commission disposition. According to Exhibit___(CO-8), the Company proposes an O&M budget of $6.604 million for the Rate Year. Factoring in the Panel's

adjustment, the Panel recommends a total O&M target budget of $5.66 million. Therefore, any under-spent funds from the target budget of $5.66 million should be deferred.

Q. Why does the Panel recommend a downward only reconciliation?

A. Due to the lack of transparency for the Outreach and Education program costs and the Panel's inability to reconcile the program costs with the various line items provided by the Company in Exhibit___(CO-8), the responses to DPS-379 and PULP-3_20, and the O&E Plans, the Panel is unable to assess the Company's outreach and education program costs. Therefore, we recommend a downward-only reconciliation for these expenses as an additional protection for ratepayers.

Q. Does the Panel have recommendations regarding the Company's outreach and education budget reporting requirements?

A. Yes. We recommend that the Company be required to continue to file its annual outreach and education plans and reports with the Secretary to the Commission under Case 17-M-0475 by April

1 of each calendar year. Filing this plan annually with the Secretary is consistent with the requirements for other utilities and allows for review by interested stakeholders, including elected or appointed officials. Additionally, to be able to assess the need for additional O&E funding in future rate proceedings, we recommend that the Commission direct the Company to use the modified inventory budget as shown in the Annual Outreach Report Template provided to the utilities by Department Staff on March 6, 2025 via email correspondence. The new inventory budget template is included in Exhibit___(SCSP-3). While the template is provided by the Department, page 6 notes that the breakdown by categories can be modified to reflect the Company's unique budget tracking categories, which will allow for transparency and prevent potential future inconsistencies in reporting the Company's budgets and spending. It will also allow Staff to assess the Company's outreach efforts, expenditures, and needs for funding.

Q. Does the Panel have any other concerns regarding

outreach?

A. Yes. Department Call Center Staff have received multiple inquiries concerning the Company's mandated gas service line inspection program. Particularly, the customer's ability to successfully contact the Company or its vendor to schedule an appointment for the customer to allow access to complete the inspection work. The customers making these inquiries also indicate that they are receiving final termination notices for failure to allow access to complete the required inspection.

Q. What options does the Company offer for the customer to schedule an appointment?

A. According the Company's website, the customer may call Con Edison or send an email requesting to schedule an appointment. However, the customer inquiries have indicated that it is difficult to reach the Company or its vendor to schedule the appointment.

Q. Does the Panel have any recommendations regarding customer options to schedule a gas service line inspection appointment?

A. Yes. The Panel recommends that the Commission

direct the Company to develop a self-service option for customers to schedule a gas service line inspection appointment, in addition to its current offerings, which should be clearly described on its customer notifications. This soluction is a benefit to customers and the Company, as it will alleviate the need for the customer to interact with the Company or its vendor while avoiding the potentional termination of service for failure to provide access.

Customer Service Performance Indicators

Q. What is the purpose of annual customer service performance indicator mechanisms?

A. Customer service performance indicators, or CSPIs, are data points used by the Office of Consumer Services to measure the utilities' levels of customer service so the Commission can determine whether the utilities are providing adequate customer service to their customers. These CSPI mechanisms help align shareholder and ratepayer interests by providing earnings consequences related to the quality of service that a utility provides to its customers. The

mechanism links earnings directly to a utility's performance on specific measures of customer service. Based on historical performance, the Commission establishes target levels for metrics during utility rate cases. Currently, such mechanisms are in effect for all of New York's major investor-owned utilities, Corning Natural Gas Corporation, Liberty Utilities (Saint Lawrence Gas) Corporation, Liberty Water and Veolia Water.

Q. Why are CSPIs necessary?

A. As monopoly providers of utility delivery services, investor-owned utilities, or IOUs, such as Con Edison, do not have a profit-based incentive to provide adequate customer service because their customers cannot select another utility based on the quality of service received. However, a primary responsibility of the utilities is to provide adequate customer service and this is in the public interest. A CSPI mechanism establishes an incentive for utilities to provide adequate levels of customer service.

Q. How are CSPIs monitored by the Department?

A. The Department uses the monthly and annual CSPI reports to measure and monitor customer service.

Q. Panel, please explain what information is provided in the monthly CSPI reports.

A. The monthly CSPI reports, submitted by all major IOUs, include a standardized set of measures for customer service performance. Reporting these measures on a monthly basis facilitates comparative analysis of customer service across the utilities. This allows the Department to identify trends in the utilities' performance throughout the year.

Q. What do the annual CSPI reports entail?

A. Once per year the utilities report a specified annual CSPI metrics. These annual CSPI metrics have been established and are reviewed and modified in the rate proceedings for each utility. The CSPI metrics set performance thresholds and have earnings incentives, also known as negative revenue adjustments, or NRAs, which are tied to a utility's performance results. Currently, performance targets are set for the yearly CSPI metrics on a calendar year basis, and the Department uses the monthly CSPI

reports to verify the accuracy of the annually reported CSPI results.

Q. Describe the Company's current annual CSPIs.

A. The Company's current annual CSPI, which was last addressed by the Commission in its 2023 Rate Order, measures the following areas: PSC Complaint Rate, based on the average monthly number of escalated complaints per 100,000 customers; Customer Satisfaction, measured through two customer satisfaction surveys, emergency survey and non-emergency survey; and Percent of Calls Answered Within 30 Seconds, or Call Answer Rate, measured by the percent of calls answered within 30 seconds by a customer service representative. Con Edison is also subject to NRAs for two estimated and delayed billing metrics which yields the percentage of customers that have been estimated or delayed billed for 125 days or greater. Estimated and Delayed Billing Metric One includes electric residential, electric non-residential non-demand (excluding NYPA), and gas residential customer groups. This metric excludes residential customers who have non-AMI legacy meters and

opted out of receiving an AMI meter and non-residential customers for which the Company's AMI meter installation vendor has made five unsuccessful attempts to install an AMI meter. Estimated and Delayed Billing Metric Two includes electric non-residential demand, NYPA electric, and gas non-residential customer groups. This metric exludes non-residential and NYPA customers for which the Company's AMI meter installation vendor has made five unsuccessful attempts to install an AMI meter.

Q. What are the current initial targets for these metrics?

A. The current initial targets are a PSC Complaint Rate less than or equal to 2.0, a Customer Satisfaction Survey for non-emergency transactions results in a rate greater than or equal to 3.85, a Customer Satisfaction Survey for emergency transactions results in a rate greater than or equal to 3.57, and a Call Answer Rate of greater than or equal to 67.5 percent. The Estimated and Delayed Billing Metric One has an initial target of less than or equal to 1.77 percent and Metric Two has an initial target of

less than or equal to 2.43 percent

Q. If performance on any of the CSPI metrics the Panel mentioned falls below the specified thresholds, will the Company incur an NRA?

A. Yes. The Company is currently at risk of incurring a total of 41 NRAs annually for electric and gas combined.

Q. How has the Company performed over the past three years?

A. The Department audited the Company's performance from 2022 through 2024 and determined that the Company missed its Call Answer Rate metric target for the calendar year 2022, achieving 62.5 percent between the target thresholds of 61.7 percent and 63.5 percent which resulted in an NRA of $4 million. The Company met or exceeded the initial targets for the remaining metrics and reporting periods.

Q. As part of the Department's audit of the utilities' performance metrics, has the validity of the data that the Company provided been verified?

A. Yes. Based on the annual audit of the Company's data, we can confirm the accuracy of the PSC

Complaint Rate, Customer Satisfaction Survey and the Call Answer Rate metric.

Q. Does the Company propose to modify its current Customer Service Performance Indicators?

A. The Company did not provide testimony proposing modifications to its metric target levels, however, it did propose additional exclusions to its Estimated and Delayed Billing Metrics.

Q. What are the Company's proposed additional exclusions?

A. As discussed previously, the Company currently excludes bills where its AMI meter installation vendor has made five unsuccessful attempts to install an AMI meter. On pages 84 to 86 of the Company's Customer Operations Panel initial testimony, the Company proposes to expand the exclusions for bills where either Company personnel or its vendor have made a combined five unsuccessful attempts to install an AMI meter. The Company states that both its vendor and Company personnel are used to install AMI meters and for the purpose of the metric, there is no distinguishable difference as to who makes the attempt to install an AMI meter. The

Company also proposes to remove accounts for customers who have defective or non-communicating meters for which the Company has engaged in the replevin process. The Company states that for these accounts where the Company's inability to gain access to replace the defective meter has been so persistent that legal action was necessary to replace the defective meter.

Q. Does the Panel agree with the Company's exclusion proposals?

A. No. In response to DPS-876, the Company is not able to quantify the changes to its historic performance results if the proposed accounts were removed from the calculation. Therefore, the Panel is unable to gauge the historic impacts to determine appropriate target levels.

Q. Does the Panel have additional recommendations regarding the Company's CSPI?

A. As detailed in Exhibit___(SCSP-3), we recommend maintaining the existing targets for the PSC Complaint Rate, Call Answer Rate and Estimated and Delayed Billing Metric Two. We recommend modifying the target levels for the two

Satisfaction Surveys and the Estimated and Delayed Billing Metric One. We also recommend increasing the NRA basis point values for the Call Answer Rate and Complaint Rate. Finally, the Panel recommends the Commission direct the Company to modify its Call Answer Rate calculation to be consistent with the Order Adopting Revisions to Customer Service Reporting Metrics issued August 4, 2017 in Case 15-M-0566, referred to as Metrics Order. We will discuss our recommendations regarding the Call Answer Rate targets, followed by our recommendation for the associated NRAs.

Customer Satisfaction Survey - Emergency

Q. What is the Company's current initial target for the Customer Satsifaction Survey – Emergency metric?

A. The Company's current initial target for this metric is 3.57 based on a five point scale, which the Commission established in the 2023 Rate Order.

Q. Did the Company propose modifications to the Customer Satisfaction Survey – Emergency target?

A. No.

Q. Does the Panel recommend modifications to the targets?

A. Yes. We recommend increasing the initial target from 3.57 to 3.73.

Q. How did the Panel determine the recommended target level.

A. We used the annual performance indicator reports filed in Case 15-M-0566 which provide the Company's actual monthly survey results. The Panel used the monthly data to calculate the annual average for each year 2023 and 2024. Of note, in the 2023 Rate Order, the Commission modified the Company's satisfaction survey mechanism from a telephone survey to an email based survey mechanism and thus, there is two years of historic data. The annual averages for each year 2023 through 2024 resulted in actual rates of 3.74 and 3.76, respectively. We then calculated the two-year average and standard deviation, which resulted in 3.75 for the two-year average and 0.01 for the calculated standard deviation.

Q. What is the Panel's calculation methodology?

A. The average corresponds to what represents typical performance by the Company and a standard deviation is a statisitical measure of distribution for a set of numbers. The Panel applied two standard deviations around historic average. The resulting range represents a normal distribution where 95 percent of the data points are expected to fall. Peformance results outside this range would likely be due to a change in service level, not random variations.

Q. What is the Panel's recommended initial target level.

A. Based on the Panel's calculation methodology, we recommend the initial target level for the Customer Satisfaction Survey – Emergency metric be set by the Commission at 3.73 and incremental target levels as described in Exhibit___(SCSP-4). The Panel recommends the Commission increase the target levels to keep the metric relevant and avoid a degradation in its response to emergency transactions that customers have come to expect.

Customer Satisfaction Survey – Non-Emergency

Q. What is the Company's current initial target for

the Customer Satsifaction Survey – Non-Emergency metric?

A. The Company's current initial target rate for this metric is 3.85 based on a five point scale, which the Commission established in the 2023 Rate Order.

Q. Did the Company propose modifications to the Customer Satisfaction Survey – Non-Emergency metric target?

A. No. The Company did not propose modifying this target.

Q. Does the Panel recommend modifying the targets?

A. Yes. We recommend increasing the initial target from 3.85 to 3.94.

Q. How did the Panel calculate the recommended target level?

A. The Panel used a methodology similar to the Customer Satisfaction Survey – Emergency metric we just discussed. Using that methodology, the annual averages for each year 2023 through 2024 resulted in actual rates of 3.98 and 3.96, respectively. We then calculated the two-year average and standard deviation, which results in 3.97 for the two-year average and 0.01 for the

calculated standard deviation.

Q. Please describe the Panel's methodology for determining your recommnded metric targets.

A. In previous rate proceedings, the Commission has accepted that historical averages generally represent a satisfactory level of service. To set the metric targets, trial staff typically calculates a utility's historical average using recent performance data. Trial staff then sets the initial target two standard deviations below that historical average.

Q. What is the Panel's recommended initial target level.

A. The Panel recommends the initial target level for the Customer Satisfaction Survey – Emergency metric be set at 3.94 and incremental target levels as shown in Exhibit___(SCSP-4). The Panel recommends the Commission increase the target levels to keep the metric relevant and avoid a degradation in its response to non-emergency transactions that customers have come to expect.

Estimated and Delayed Billing Metric One

Q. What is the current initial target for the

Company's Estimated and Delayed Billing Metric One?

A. The current initial target for this metric is 1.77 percent which the Commission established in the 2023 Rate Order.

Q. Did the Company propose modifications to the targets?

A. No.

Q. Does the Panel recommend modifications to the Metric One targets?

A. Yes. We recommend the Commission reduce the initial target from 1.77 to 1.34 percent.

Q. Describe how the Panel calculated this recommended target level.

A. The Panel used the methodology discussed in the Customer Satisfaction Survey – Emergency metric section. The annual averages for each year 2023 through 2024 resulted in actual rates of 1.18 and 0.89, respectively. We then calculated the two-year average and standard deviation, which resulted in 1.04 for the two-year average and 0.15 for the calculated standard deviation. Incremental target levels as shown in Exhibit___(SCSP-3). The Panel recommends the

Commission increase the target levels to ensure customers receive actual bills in a timely fashion.

Call Answer Rate

Q. Panel, how does the Company calculate its Call Answer Rate?

A. Currently, the calculation is the sum of the system-wide number of calls answered by representatives within 30 seconds divided by the sum of the system-wide number of calls answered by respresentatives.

Q. Does the Panel have a recommendation regarding this?

A. Yes. The Panel is concerned that the calculation does not align with the Metrics Order or with other utilities with a similar metric. Specifically, the Company's current calculation methodology does not account for calls abandoned within 30 seconds.

Q. What does the Panel recommend regarding the Company's Call Answer Rate calculation?

A. The Panel recommends the Commission modify the calculation to reflect the Call Answer Rate formula described on page 5 of the Appendix to

the Metrics Order, which accounts for customer abandoned calls within 30 seconds. This will align the Company with other utilities, such as its sister company O&R, for consistency purposes.

Negative Revenue Adjustments

Q. Panel, what is the current NRA structure for the CSPI?

A. For each metric, the Company may incur a maximum NRA which is determined based on the number of pre-tax combined electric and gas basis points and differs depending on the metric. The highest level of basis points for a particular metric is 10 basis points and described in more detail in Exhibit___(SCSP-4).

Q. Did the Company propose to modify the NRAs associated with this metric?

A. No.

Q. Does the Panel have any recommendations regarding the level of NRAs?

A. The Panel recommends the Commission set the initial NRA level to five basis points with incremental thresholds of 10 and 15 basis points for each the Complaint Rate and Call Answer Rate

metrics as shown in Exhibit___(SCSP-4). Our maximum number of basis points recommendation is consistent with the maximum NRA level of other New York utilities, such as Con Edison's sister company, O&R. Also, the Panel recommends the Commission maintain the NRA basis point amounts for the two satisfaction surveys because the combined exposure already achieves the recommended 5, 10 and 15 basis point amounts and most utilities only administer one satisfaction survey.

Outage Notification Incentive Mechanism

Q. Panel, please describe the Company's proposal regarding its Outage Notification Incentive Mechanism (ONIM).

A. On pages 81 to 82 of the Company's Customer Operations Panel initial testimony, the Company proposes to eliminate the ONIM as a metric. The Company states that it collaborated with Staff's Office of Resiliency and Emergency Preparedness to fully incorporate the requirements of the ONIM into its annual Emergency Response Plan.

Q. Is the ONIM addressed in a different Staff panel testimony in these proceedings?

A. Yes. Further details of the Company's ONIM and recommendations regarding the Company's ONIM proposal is addressed in the Staff Electric Resilience and Reliability Performance Mechanism Panel direct testimony.

Energy Affordability Program

Q. Please explain the Company's current electric and gas Energy Affordability Program, referred to as EAP.

A. Under the current program, the Company provides a monthly bill discount to customers who receive a Home Energy Assistance Program (HEAP) grant, including alternative fuel HEAP recipients, such as customers who use oil, wood or propane as a heating fuel source. The discount is based on the customer's applicable tier. Customers in receipt of other public assistance programs such as the Supplemental Nutrition Assistance Program, or SNAP, are also eligible for the EAP discount program. The Company follows the Commission's Energy Affordability Policy framework as prescribed in the Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings, issued August 12,

2021, in Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low-Income Utility Customers, referred to as the 2021 EAP Order. On Page 70 of the the Company's testimony, reconciliation of any over- and under-recoveries associated with electric and gas discounts and the waiver of reconnection fees will be recovered through the Revenue Decoupling Mechanism (RDM) for electric customers and the Monthly Rate Adjustment (MRA) for gas customers.

Q. What are the Company's proposals regarding its electric and gas EAP?

A. On page 64 of the Company's Customer Service Panel initial testimony, the Company proposes to continue its EAP in accordance with the Low Income Orders. In accordance with Commission's adopted discount calculation, the Company proposes to update its tier discounts to reflect updated information such as income levels and average bills. On page 68 of the Company's Customer Operations Panel initial testimony, the Company states that the EAP budgets currently in rates are $166.3 million for electric and $35.8

million for gas. Also, as a result of the new discount amounts and participation levels, the Company proposes, to update the electric and gas EAP discount budgets to $213.7 million for electric and $43.6 million for gas. The assumed discounts reflect updates in response to the 2021 EAP Order. The Company also proposes to continue its one-time reconnection fee waiver program at a cost of $2.14 million for electric and $75,000 for gas. Together, the Company's overall EAP proposed budget is $215.8 million for electric and $43.7 million for gas.

Q. What does the Company charge for reconnection of electric service?

A. According to the Company's tariff PSC NO: 10 – Electricity at Leaf 119, the Company's electric reconnection fee charge during normal business hours Monday through Friday is $26.00. Other fees apply during off business hours or if the service was disconnected at the street.

Q. Does the Panel agree with the electric reconnection fee waiver proposed amount?

A. No. In response to DPS-56, the Company provided the annual electric reconnection fee waiver cost

for 2022, 2023 and 2024, which totaled approximately $61,000. Also, in response to DPS-349, the Company states that 99.2 percent of EAP customers are equipped with communicating AMI meters, which provide remote reconnection capabilities, while approximately 3,500 EAP customers have a non-communicating AMI meter or a legacy meter. While the Panel acknowledges the various moratorias on terminations over the previous three years, the annual reconnection fee waiver cost is diminimus considering the number of EAP customers without a communicating AMI meter.

Q. Please explain your rationale.

A. As stated previously, there are approximately 3,500 EAP participants who do not have a meter that can remotely reconnect service and the fee charged to customers to complete an on-premise service reconnection is $26.00. If all potential customers require such a reconnection, the annual cost would be less than $100,000 (3,500 x $26.00 = $91,000). In addition, this cost would be decreased as the Company continues to reduce the number of EAP customers without a

communicating AMI meter.

Q. Does the Panel have a recommendation regarding the electric reconnection fee waiver program?

A. Yes. The Panel recommends the Company update its tariff such that the reconnection fee charge is not applicable to electric EAP participants and thus, eliminate the need for a EAP electric reconnection fee waiver program. As discussed earlier, the costs for on-premise reconnection work is diminimus as the vast majority of EAP customers can be reconnected remotely. This is a further benefit of the Company's AMI system for the Company's most vulnerable customers.

Q. Does the Company have additional proposals regarding its affordability program for gas service?

A. On page 64 of the Company's Customer Operations Panel initial testimony, the Company states that in accordance with the 2023 Rate Order, the Company proposes in its Gas Rates Panel testimony to establish separate rates in its tariff PSC No. 9 – Gas for SC3, one rate for gas heat customers with one to four dwelling units and one for gas heat customers with more than

four dwelling units. In addition, on pages 64 to 65 of the Company's Customer Operations Panel initial testimony, the Company proposes to limit SC3 gas heating customer participation in the EAP to residential customers with one to four dwelling units, which the Company estimates would remove approximately 84 customers from the EAP. The Company states that the EAP discounts should directly benefit residential customers and not central gas accounts at multifamily buildings where the Company cannot ensure the benefit is passed on to the tenants.

Q. Does the Panel agree with removing these customers from EAP?

A. No. The Panel does not agree at this time. In response to DPS-345, the Company states that these customers are eligible for program participation meaning that the gas account holder has applied and met the income qualifications to receive a benefit from one of the qualifying public assistance programs for EAP eligibility criteria. Also, the Panel is not aware of the extent this issue applies to other utilities and any further considerations

on the matter should be addressed on a statewide basis by the EAP Working Group.

Q. What is the Company's proposal for additional FTEs to its Public Assistance Central team?

A. On pages 71 to 72 of the Company's Customer Operations Panel initial testimony, the Company states its Public Assistance Central, referred to as PAC, team currently implements its energy affordability program including coordination with social service agencies to facilitate program enrollment. The PAC team is currently comprised of 13 FTEs and the Company proposes to add seven FTEs. Specifically, three CSRs and one Supervisor to review self-certification and recertification program applications, one Specialist to streamline and improve EAP enrollment process, one Specialist to coordinate with social service agencies and other customer programs, and one Senior Planning Analyst to manage regulatory requirements and stakeholder engagement that will allow the Company to align program design with policy objectives, including removing barriers to program enrollment and evaluate discount design in consideration of

electrified heating.

Q. What employees make up the PAC team?

A. In response to DPS-401, the Company provides a description of the current PAC team which consists of the following: one Manager who oversees the team and leads process improvements; one Senior Specialist to lead application of benefits and provide technical assistance; one Supervisor to manage day-to-day operations and conducts customer and agency callbacks; and CSRs to process EAP related payment and address billing inquiries.

Q. Does the Panel agree with the proposed FTEs?

A. The Panel agrees with the additional three CSRs and one supervisor to facilitate the self-certification process, however, we do not agree with the remaining three FTEs. Regarding the specialist FTE to improve enrollment process, the Panel notes that low-income program enrollment has been in place for over a decade and any additional improvements to the current enrollment process can be achieved by the PAC team as a whole lead by the current Manager whose job duties already include this function

as provided in the Company's response to DPS-401 discussed previously. Regarding the Specialist to coordinate with social service agencies, the Company's response to DPS-401 states that the current PAC team Supervisor already addresses agency issues and the Manager provides advisement in collaborating with agencies, therefore, the proposed Specialist FTE is not needed. The Senior Planning Analyst job description entails topics addressed through the EAP Working Group to which the Company is already an active participant and therefore, this FTE is redundant. Also, in response to DPS-401, the Company identifies barriers to EAP program enrollment which are largely outside of the Company's control. The data belongs to government agencies that are obligated to follow certain data sharing laws and regulations and ultimately, would need to be modified in order to remove the barrier for automatic program enrollment. Therefore, the Panel recommends the Commission reject this FTE request.

Q. What is the Company's proposal for non-labor O&M expenses?

A. On page 7 of the Exhibit___(CO-10), the Company proposes $69,000 for EAP participant recertification outreach. Under this outreach effort, the Company sends notification letters and text messages to self-enrolled EAP participants to inform them of the need to recertify program eligibility each year.

Q. Does the Panel agree with the proposed funding request?

A. Yes. The Panel agrees with the proposal, however, recommends that the funds be reclassified to the Company's Outreach and Education budget which is reflected in the overall O&E adjustment we addressed in that section. The requested funds would provide outreach each year through customer notifications and for transparency purposes, we recommned the funds be accounted for in the energy affordability program outreach section of the Company's overall O&E program so that stakeholders understand the total spending on Outreach and Education.

Customer Care and Billing System

Q. Panel, briefly describe the Company's Customer

Care and Billing (CC&B) system.

A. The Company states on pages 27 through 32 of the Company's IT Panel initial testimony that the Customer Care and Billing, referred to as CC&B, system is an Oracle system that replaced its outdated legacy billing system. The CC&B system went live in October 2023 when the Company made the switch from its old legacy system to the new CC&B. On page 66 of Exhibit___(IT-5), the Company states that CC&B manages service connections, AMI support, new rates, billing, payment processing, collections, field work, and clean energy programs.

Q. What is the Company's proposal regarding its CC&B system?

A. Con Edison proposes O&M funding for program support and capital funding to implement enhancements and upgrades. On pages 66 and 67 of Exhibit___(IT-5), the Company discusses the O&M funding that will address three areas. First, to continue the licensing agreement with Oracle that will use CC&B since it is a cloud-based system. Second, to provide edge system support for changes in integrations throughout

the programs lifecycle. Third, to migrate a portion of the project development team to the CC&B Application Support, resulting in no new hires, however, continued funding to support system maintenance and addressing defects.

Q. What is the Company's justification and need for capital funding request?

A. On pages 75 through 77 of Exhibit___(IT-5), the Company identifies capital funding that will also address three areas. First, continuing hardware and software changes including new functionalities, regular service patches, and archiving databases. Second, the retirement of the current middleware program, which is reaching its end of life, and rebuilding all of the integrations completed by recent CC&B implementation. Third, an application upgrade for CC&B to version 2.9 as the service has changed to cloud-based subscription, which will require regular updates. Specifically, the Company proposes to perform a system update every five years to keep the program supported by Oracle.

Q. What are the associated capital costs for the

CC&B proposal?

A. On page 82 of Exhibit___(IT-5), the Company requests $28.066 million in the Rate Year broken down as follows: $3.713 million for labor; $2.43 million for materials and supplies (M&S); $20.475 million for contract services; and $1.448 million for overhead.

Q. What are the associated O&M costs for the CC&B proposal?

A. On page 70 of Exhibit___(IT-5), the Company requests $20.671 million in the Rate Year broken down as follows: $3.464 million for labor; $9.69 million for contract services; and $7.517 million for hardware and software.

Q. When will the current version of CC&B be fully depreciated?

A. The Company states in response to DPS-550 that the current version of its CC&B system is Version 2.8, which will be fully depreciated in October 2038.

Q. What are the timeframes for support for CC&B by Oracle?

A. On page 85 of Exhibit___(IT-5), the Company provides Oracle timeframes for Premier support

in the first five years of the product's useful life, extended support for an additional three years, and notes on page 86 of Exhibit___(IT-5) that additional indefinite sustaining support is available. In the respose to DPS-596, Attachment 1, the Company describes the indefinite sustaining support as a custom O&M support level from Oracle at a cost of $14.31 million from mid-2029 to mid-2031.

Q. Does the Panel have concerns regarding the Company's CC&B proposal?

A. Yes. The Company's current version of the CC&B is depreciated over a 15-year period, the Company's proposal to update the CC&B every five years would incur associated capital costs every five years for each system upgrade. These capital costs should be depreciated over a period similar in length to the system's useful life.

Q. What is the Panel's recommendation regarding its CC&B?

A. We recommend the Commission modify the proposed upgrade cycle for the CC&B. The five-year update cycle is concerning given the level of

capital expenditures needed to complete an update and the resulting impact that will have on customers. We recommend increasing the update cycle from the Company's proposed five-year cycle to the maximum eight years offered by Oracle and utilize extended support options for any time overruns needed to implement the latest model. This will increase the useful life of the program and will lower costs borne by consumers.

Billing and Payment Enhancements Program

Q. Panel, please describe the Company's Billing and Payment Enhancements Program proposal.

A. On page 30 of the Exhibit___(IT-5), the Company states the Billing and Payment Enhancements program will upgrade existing systems and processes and introduce new technology. Specifically, the Company plans to replace and upgrade 36 existing customer office kiosks, implement application platform interfaces (APIs) across the customer payment system to debit bank account transactions in near-real time, expand digital payment options, and launch personalized video messaging to guide customers through

beneficial programs.

Q. What is the Company's justification for its Billing and Payment Enhancements proposal?

A. On page 31 of Exhibit___(IT-5), the Company plans to improve the functionality of the kiosks to accommodate credit and debit card payments and reduce the risk of customer frustration with perceived outdated user experiences and technology. The Company states that failure to leverage state of the art technology will harm their ability to meet customer interaction expectations.

Q. What are the associated capital and O&M costs for the Rate Year?

A. The Company proposed $3.0 million in capital funding and $0.25 million in O&M funding for the Rate Year. In the Company's IT Panel Corrections and Updates filed April 10, 2025, the Company adjusted O&M expense to reflect a reduction of $5.6 million in contract fees for the billing and payment vendor in the Rate Year as well as a correction to reclassify $0.25 million in labor to contract services.

Q. Has the Company received customer feedback

regarding kiosk improvements?

A. Yes. In response to DPS-730, the Company provides survey results pertaining to new kiosk locations and current kiosk user satisfaction. The kiosk survey results provided that 56 percent of customers were not interested in paying their bills at a kiosk. Also, for customers who used the Company's current kiosks, 91 percent said their kiosk experience was good or excellent and 78 percent said no improvements were needed to existing kiosks. Finally, customer feedback indicated that the Company's current payment offering types at kiosk locations are sufficient to allow customers to pay their bills and 92 percent of customers are aware of the various ways to pay their bill.

Q. What is the Panel's recommendation regarding the Billing and Payment Enhancements program proposal?

A. We recommend the Commission deny this request. The proposal seeks to replace functioning kiosks and expand payment options and provide video messaging, however, customer feedback overwhelmingly indicates these changes are not

wanted or needed. Also, the replacement of kiosks and enhancements to billing and payment options are not needed at this time since the Company currently provides such offerings to its customers, particularly with the concern of affordability in these proceedings.

Customer Data and Analytics

Q. Panel, please describe the Company's current Customer Data and Analytics program.

A. The Company states on page 19 of Exhibit___(IT-9) that the Customer Data and Analytics program began in 2020 and is designed to use modern data and analytics platforms to connect different data sources to identify trends, patterns, correlations and relationships to better understand pain points and predict future customer needs, creating more efficient and effective operations.

Q. Please describe the Company's Customer Data and Analytics proposal in these proceedings.

A. On page 19 of Exhibit___(IT-9), the Company proposes additional data analysis through the use of machine learning models and generative artificial intelligence (AI) to upgrade call

center operations, predict customer trends, improve customer operations access to customer data, and maintain customer data products.

Q. What is the Company's justification regarding its Data and Analytics proposal?

A. On pages 25 and 26 of Exhibit___(IT-9), the Company states that advancement in data and analytics has helped the Company to achieve the customer service performance metrics due, in part, to some of the data provided by the existing Customer Analytics Records, referred to as the CARs data set. The Company explains in response to DPS-646, CARs is a data model created in 2020 to perform analytics related to billing, payments, back-office management, and contact center engagement. In response to DPS-665, the Company states that reports generated by the data models, leveraging its new customer service system, will provide incremental refinements to analytics to meet service level targets for the contact center and credit and collections. The current decision-making method used to predict staffing needs, including average handle time, service level, and call

volumes, has allowed the Company to meet existing service level targets. In the same response, enhanced performance metrics are expected to create incremental refinements to decision making processes to sustain these acceptable service levels.

Q. What are the Company's proposed capital costs associated with the Data and Analytics proposal?

A. The Company proposes $10.2 million in the Rate Year: $1.9 million for labor; $7.4 million for contract services; and $0.8 million for overhead.

Q. What are the Company's proposed O&M costs associated with the Data and Analytics proposal?

A. The Company requests $1.1 million in O&M funding in the Rate Year.

Q. Did the Company provide a cost breakdown by component for the Customer Data and Analytics Program?

A. In response to DPS-506, the Company states it does not break costs down by component.

Q. Has the Data and Analytics program produced cost savings?

A. In response to DPS-596, the Company provides

program cost savings of $1.6 million from avoided labor costs over the two-year period from 2023 through 2024 which was due to time saved through CARs data queries. Also, in the same response, the Company states that $1.5 million in customer payments is generated due to its Payment Propensity Modeling use case which helps prioritize customers likely to need a field visit for collections as opposed to customers likely to pay via a collections email campaign. However, the Company states in its response that it is unable to quantify savings from its Payment Propensity Modeling use case.

Q. Does the Panel have recommendations regarding the Data Analytics program?

A. Yes. The Panel recommends the Commission direct the Company to submit annual reports regarding its Data and Analytics program. Specifically, the Panel recommends the Company report on its actual capital cost in comparison to budget cost broken down by use case or other components. Also, the report must include a description of the use cases developed, including details to how it will result in a cost reduction to

current costs or avoid future costs. This will help gauge the effectiveness of the Data and Analytics program for consideration of continuing the program in a future rate proceeding.

Customer Engagement Platform

Q. Please describe the Company's Customer Engagement Platform program proposal.

A. The Customer Engagement Platform is a customer relationship management tool that will integrate many of the Company's existing IT systems into a single, unified interface.

Q. What is the Company's justification for its Customer Engament Platform proposal?

A. On pages 107 and 108 of Exhibit___(IT-5), the Company states the Customer Engagement Platform is essential to keep pace with customer expectations. The process of adding a single screen interface is a practice used by most other large utilities to insulate users from the complexities of multiple IT systems. This can be training intensive so creating a single screen for correspondence, customer interactions, meter status, appointments,

service inquiries, and payments will create seamless interactions with customers.

Q. Did the Company provide any cost savings or avoidance for the Customer Engagement Platform?

A. On pages 109 and 110 of Exhibit___(IT-5), the Company states that the program could create improved front office efficiencies in the contact center. In response to DPS-596, the Company states that these efficiencies are achieved through a reduced number of clicks a CSR needs to complete transactions. The Company notes that it anticipates cost avoidance, but it is unable to quantify that amount at this preliminary stage of the project.

Q. Describe how the Company's CC&B has improved the Company's customers interactions.

A. On page 66 of Exhibit___(IT-5), the Company states that since the implmentation of CC&B, the system has enhanced their ability to manage requests across the customer lifecycle including service connections, AMI, rates, complex billing, payment processing, collections, and field work while including clean energy program support. In response to DPS-542, the Company

provides a list of enhancements to the customer lifecycle as a result of the CSS migration. The CC&B created more opportunities for self-service, automation, CSR visibility of alerts and issues, real-time data, and personalized customer experience offerings.

Q. What are the associated capital and O&M costs for the Customer Engagement Platform proposal in the Rate Year?

A. The Company requests capital funding of $9.1 million and O&M funding of $0.2 million in the Rate Year.

Q. Are there any financial benefits associated with this proposal?

A. In response to DPS-596, the Company states it could not provide any financial benefits or cost savings associated with the proposal at this preliminary stage of development. The Company hopes for cost avoidance through efficiencies gained in reducing the number of clicks a CSR needs to complete a transaction in both customer facing and internal roles.

Q. Does the Panel have a recommendation regarding the Customer Engagement Platform proposal?

A. Yes. The program is still in the preliminary stages of development and the Company is not able to provide enough information regarding the cost effectiveness of this program. This new program will generate additional costs when affordability is a key issue facing customers today. Also, the program is redundant to the CC&B system which the Company states incorporates a number of customer experience operations into one system. Therefore, we recommend the Commission reject the funding request for the Customer Engagement Platform.

Q. Does this conclude the Panel's testimony?

A. Yes, at this time.